For the Attention of the Board

Information directors need to know

Questions directors need to ask

With expert perspective from

Fault lines:

where projects crack - and how the Board can hold the line

Mishcon de Reya

Complex projects - strategies for success

In the realm of large-scale projects, whether tech, infrastructure or energy projects, the stakes are high, and the risks are manifold. Projects can falter due to defects, delays, and cost overruns, which can lead to significant financial and reputational damage.

This is not merely an operational issue; it is a critical concern for the Board. The Board's strategic oversight is essential to ensure effective risk management and dispute avoidance from the outset.

If an issue does arise, it is imperative that the Board, along with senior decision makers, listen and act decisively to safeguard the organisation's interests and investments. This briefing note sets out practical tips.

Key contributors

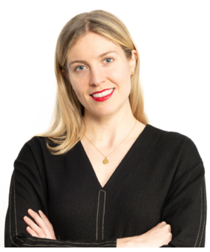
Robert Griffiths
Partner, Technology Disputes
T: +44 20 3321 6596
E: robert.griffiths@mishcon.com

Alexandra Clough
Partner, Real Estate Disputes
T: +44 20 3321 7531
E: alexnadra.clough@mishcon.com

Greg Falkof
Partner, Head of Aribtration
T: +44 20 3321 7724
E: greg.falkof@mishcon.com

Laura Askew
Managing Associate
T: +44 20 3321 6225
E: laura.askew@mishcon.com

Daniel Bharier
Associate
T: +44 20 3321 7379
E: daniel.bharier@mishcon.com



Frances Beddow
Associate
T: +44 20 3321 7921
E: frances.beddow@mishcon.com

The costs of getting it wrong

- Dispute resolution processes can be costly, particularly in large projects where documentation is extensive and the project spans multiple disciplines and areas of expertise.
- When disputes arise mid-way through projects, this can result in lengthy delays (and financial consequences) while the parties embark on interim dispute resolution processes to resolve impasses.
- Often, issues will necessitate temporary measures which attract a significant additional cost. There can be financing implications if provision for this contingency is not made at the outset.
- Inevitably, project disputes are a significant drain on management time and resources.
- Disputes on large and high-profile projects are of public interest, and can have serious reputational implications, including leading to parties being excluded from future opportunities to bid for a contract.

What are the risks?

Projects can vary in scale, duration and complexity. In some instances, projects will involve a comparatively small number of parties and run sequentially.

However, things are often more complicated – it is common for there to be multiple workstreams running in parallel, with a large number of stakeholders and third-party providers. This complicates the risk-management landscape.

How can the Board manage risk?

There are a number of steps the Board can take to manage risk. We recommend that the Board work with relevant individuals within the organisation to ensure that adequate systems and processes are put into place at the very outset of a project.

The key points to consider are:
- Breaking the project down into detailed milestones
- Setting up a formal process to facilitate information sharing
- Ensuring there are adequate records

Break the project plan down into detailed milestones

The progress of any project is tracked against agreed milestones. Organisations can run into difficulty where the milestones are vague.

To avoid any issues with the milestones, the Board should ensure that senior management (and any in-house legal) work is undertaken to ensure that the milestones are broken down into small, measurable steps from the outset. This will allow the parties to:
- Quickly assess whether a project is on track, at any given time. Identifying any issues at an early stage will allow the parties to take steps to resolve them.
- Quickly identify whether the project is veering off track/out of scope, helping the parties to avoid ‘scope-creep’.

In practice, we see the most requests for change/re-papering where there are relatively few or vague milestones.

Set up a formal process to facilitate information sharing

Information sharing is key to the success of any project – it ensures that all parties have the information they need to make efficient and effective decisions.

Customers can sometimes experience issues where they have limited visibility of day-to-day project progress. A supplier is often the first party with awareness of a potential delay. If an issue isn’t shared or communicated, there is a risk it snowballs.

To encourage information sharing, we suggest the Board ensure that the commercial team:

- Schedule regular, weekly calls/meetings to track progress.
- Circulate a document which tracks progress on a weekly basis.

During this process, the key issues to track will be delay and scope-creep.

In terms of further parties, keeping lenders and/or insurers updated - even if not strictly required - can also have benefits. Requesting insurer consent before taking certain actions can reduce the risk of issues with an insurance claim made in the future. Equally, keeping lenders onside can mean they are more willing to be flexible if required because they still have confidence in the project.

Ensure there are adequate records

A key issue we regularly encounter is a lack of written records.

From the outset, there need to be sufficient records in place to demonstrate:

- The responsibility of all relevant parties.
- The milestones and any changes to the project scope.
- Weekly progress against the milestones.
- Specific details of any issues/defects/delays (and the cause of the delay).
- If any losses have occurred, what steps have been taken to mitigate those (and what alternative steps were considered, but why they have not been taken).

Written records can reduce the risk of a dispute over the factual position. In some cases, it will also allow a third-party to step in and complete the project (as a last resort).

The Board should set up a process whereby a senior manager will check in

with the relevant teams at project kick-off to ensure there are adequate systems and processes for record keeping.

…but remember disclosure obligations and privilege

While information-sharing and record-keeping are vital, they can also create pitfalls if a dispute arises. If things do progress to a dispute (whether in the English courts or London-seated arbitration), parties will ordinarily be required to disclose relevant communications and documents.

Unhelpful documents which, for example, accept responsibility for causing a delay could harm your position if they have to be disclosed. The whole team needs to understand the importance of caution around document creation. An organisation may even wish to seek legal advice on how to investigate and report on any issues that are uncovered before key documents are prepared.

Practical solutions for delay

Issues in construction

In construction projects, it is common for damages for delay to be pre-agreed (i.e. if a contractor does not hit a specific milestone, a pre-agreed figure will be payable). Issues can arise where:

— Multiple parties cause delay.
— There is a disagreement over whether the delay is critical to the project completing on time.

As suggested above, these problems can be reduced through detailed record keeping. Parties can also consider appointing delay experts at an early stage.

Issues in technology projects

In technology projects, pre-agreed damages used to be common. It is now customary for pre-agreed damages to only be triggered if the issue impacts the final completion of the project.

As an alternative solution:

— A mechanism can be added to the contract which triggers extended working days, to get the project back on track.
— However, this can lead to disputes over which party caused the delay and who should fund the additional resources.

Overall, record keeping is vital. If it is easy to identify the status of the project and the reasons for the delay, it is easier to resolve the overall issue of liability.

Don't forget the contract

The Board should ensure that the relevant teams review the applicable contractual provisions (including any amendments) and keep track of any changes. The contractual framework should be followed through the life of the project.

When a relationship is going well, parties' working patterns can sometimes evolve away from strict contractual requirements. That poses a real risk if the relationship deteriorates, as parties may inadvertently have breached their obligations.

Certainly, once a dispute has arisen, it is vital to follow the necessary contractual steps for dispute resolution. Many contracts will impose one party to notify the other of a breach within a certain period, and may also require a remedy period. Escalation provisions, requiring the parties to negotiate or participate in mediation as a mandatory step before any claim can be issued, are also relatively common. Some contracts might also contain expert adjudication clauses, allowing for an independent expert, for instance, to value a party's stake in a project so they can be bought out.

Whatever the requirements, ensure that you follow them closely and do not omit any information you are required to provide under the contract – another reason why good record-keeping is essential.

What questions should the Board and senior management be asking?

At the outset of the project

- Do we have a system in process to break the project plan down into detailed milestones at the outset?
- Have we set up a formal process to facilitate information sharing?
- Do we have suitable systems and processes in place to ensure adequate records are kept on the project? What is our document retention policy and who is responsible for ensuring compliance?
- Is a system in place to ensure all teams are familiar with the key contract terms, and any changes, throughout the life of the project?

When there is risk of a dispute

- Do we have insurance to cover the risk of a dispute?
- Do we have a dedicated board member who is lined up to approve strategy in the event of a dispute? Quick and efficient decision making can be vital in the context of a live project.
- Have we investigated the financial viability of each counterparty?

When a potential dispute arises

- Under the contract, what do we need to do to report a breach/dispute?
- If we have insurance, do we need to make a notification under the policy?
- Under the contract, can we terminate and arrange for a third-party to complete the project?
- Who is responsible for collating, documenting and preserving project information which may be required for a formal dispute?
- Are we maintaining detailed record-keeping of any breaches, and the losses caused, and what steps can and are being taken to mitigate those losses?

Expert perspective

Ashley Williams
Partner, Technology

I deal with complex technology projects as part of my practice (on both the supplier and customer side). Within my team, there are a few issues we regularly encounter.

The scope of the project is typically set out in one or multiple statements of work. It is fairly common for the first statement of work to be exploratory in nature, then the parties move on to a more detailed statement of work to capture the substance of the project. One issue we encounter is where the project starts to run, but the finalisation of the detailed statement of work gets lost in the process.

The practical solution is to get the general framework for the project in place, then diarise the finalisation of the detailed statement of work and make it a mandatory deadline, and a formal step in the project plan. The detailed statement of work should also be finalised, even if there are final details which are not yet known – this shouldn't hold finalisation back.

If the detailed statement of work isn't finalised, it can lead to issues – customers requesting functionality which hasn't been agreed, and suppliers pushing back on requests. With good planning, this can largely be avoided.

Another issue we encounter is projects running where small issues are not dealt with on an ongoing basis. These issues can build up and lead to larger issues further down the line. It is best to put a formal system in place to identify and resolve any issues in real-time. This is something AI can help with – there are a large number of AI solutions which can analyse project data on an ongoing basis, identify issues, and propose solutions.

We are also seeing AI tools being used at the tender stage. There is clearly great scope for the use of AI, and technology more generally, within the area of complex projects.

Expert perspective

Arham Malik
Associate, International Arbitration

In large-scale projects involving numerous contracts and parties from various jurisdictions, arbitration often remains the preferred route for resolving disputes. Understanding arbitration is therefore crucial for the Board, particularly because it operates under entirely different rules to court litigation.

Why arbitration matters for your project
Unlike court proceedings, arbitration is generally private. This protects commercially sensitive information and reduces reputational risk during high-profile project disputes.

Arbitration has distinct procedural requirements that can catch parties off-guard. The rules governing evidence, timelines and costs differ significantly from litigation.

Arbitration awards can be enforced across multiple jurisdictions more easily than court judgments, which is particularly valuable for international projects.

Early action is essential
The decisions made before arbitration proceedings can be pivotal. Arranging for early intervention by specialist arbitration practitioners can resolve disputes before they escalate to formal arbitration and position your organisation strategically if arbitration becomes unavoidable.

Understanding your recourse options is vital. Map out at an early stage what remedies are available to you and against whom. The sooner you understand your position, the more options you'll have later.

You should ensure that your organisation complies with contractual requirements, so it is important to review these and understand what is required.

Expert perspective

Nadine Stuttle
Founder and CEO, PSS Solutions

Effectively managing and monitoring risk at the boardroom level is a fundamental component of success for any large-scale transformational technology initiative. The Board is responsible for striking the right balance between innovation and discipline. I have often been engaged to take over leadership of global transformation projects in the legal and IP-tech sector that have gone off-course or failed to deliver as intended. In my experience, the three most common root causes are poor attention to the culture and people dimensions, weak oversight of third-party vendors, and insufficient management of external risk factors.

At the outset of any major initiative, it is essential to establish, agree upon, and adhere to a rigorous governance model. This must be supported by a culture in which those accountable for delivery are empowered and encouraged to be open, honest, and transparent. Embedding such a culture from the boardroom down is a critical success factor. Projects are ultimately delivered by people, and yet the human element - culture, leadership, and empowerment - is too often neglected. Instead, attention is typically directed toward objectives, contractual frameworks, scopes of work, timelines, and budgets. Failing to adequately address the people dimension is a recurring reason why projects falter. It must be established from the outset and, like any key risk area, continuously monitored throughout the project lifecycle.

Vendor risk is another major challenge. Overpromising during the sales cycle, followed by under-delivery due to vague scopes or poorly defined requirements, must be tackled as soon as issues arise. While governance processes enable escalation, enforcing contractual terms is equally vital. Escalation is the remit of the project manager, but holding vendors accountable is the responsibility of the Board. Delayed intervention only allows these risks to compound over time.

Large transformation programmes can become all-consuming, with intense focus on milestones and deliverables. As a result, external risk factors, such as legislative or regulatory changes, economic shifts, or cyber threats, are often overlooked. Effective risk management must be holistic, addressing both internal and external risks with equal rigour. Failure to do so leaves projects vulnerable to unforeseen disruptions.

Successfully delivering large-scale transformation requires more than just technical execution or status reporting - it demands disciplined, board-level oversight that prioritises people, enforces vendor accountability, and anticipates external risks. By embedding strong governance, fostering a culture of transparency and empowerment, and maintaining vigilance over both internal and external threats, boards can more effectively steer complex initiatives toward long-term, sustainable success. The boardroom must remain actively engaged - not only as a strategic sponsor, but as a key driver of accountability, resilience, and value throughout the transformation journey.

Summary
Practical tips for boards

Break projects down into clear, measurable milestones
Ensure the project plan is divided into detailed steps from the outset. This helps track progress, spot issues early, and avoid ‘scope-creep’.

Set up formal information sharing processes
Schedule regular meetings and circulate progress updates. Keeping all stakeholders - including lenders and insurers - informed helps prevent issues from snowballing.

Maintain robust record-keeping
Document responsibilities, milestones, changes, and any issues or delays. Good records make it easier to resolve disputes and clarify liability.

Monitor and enforce contractual obligations
Review contract terms regularly and ensure teams follow them throughout the project. This is crucial if a dispute arises, as contracts often set out specific steps for resolution.

Proactively manage risks and prepare for disputes
Check insurance coverage, assign a board member for dispute strategy, and assess the financial viability of all parties. Quick decision-making and preparation can minimise disruption if issues arise.

How Mishcon de Reya can help

Expert guidance for complex project disputes
If a project goes wrong, we work swiftly to protect your investments, minimise risk, and deliver strong, commercially focused outcomes. Our commercial litigators and arbitrators combine deep industry knowledge with strategic expertise to resolve disputes efficiently if they arise, and with minimal disruption, ensuring your interests are protected at every stage and keeping your project on track and your business moving forward.

Strategic dispute resolution and arbitration
For high-stakes, cross-border disputes, arbitration is often used as it provides confidentiality, efficiency, and expert decision-making, and awards can be enforced across jurisdictions.

So, whether you are facing construction delays, regulatory challenges, contract breakdowns, or technology project disputes, our award-winning team can deliver tailored strategies that address both the legal and commercial aspects of your project.

Find out more

Mishcon de Reya LLP
Africa House
70 Kingsway
London WC2B 6AH

T +44 20 3321 7000
F +44 20 7404 5982
E contactus@mishcon.com

mishcon.com

Mishcon de Reya
It's business. But it's personal.